

APEX PLASTICS (PTY) LTD

Direct-to-Consumer Digital Transformation Initiative

COMPANY BACKGROUND

Apex Plastics is a Gauteng-based injection moulding manufacturer established in 1989, specializing in rotational moulding and custom plastic products for commercial and retail markets across Southern Africa.

Current Business Model

- **Annual Revenue:** R425M (FY2025)
- **Customer Base:** 380 B2B accounts (retailers, municipalities, construction suppliers, agricultural distributors)
- **Product Lines:** Storage solutions, water tanks, industrial containers, waste management bins, camping/outdoor products, custom moulding services (8,500+ SKUs)
- **Sales Channels:** 80% through retail distributors (Builders, Makro, Cashbuild), 15% municipal/government tenders, 5% direct B2B
- **Manufacturing:** Two facilities (Gauteng and KZN)
- **Workforce:** 420 employees

Strategic Initiative: D2C Expansion

Leadership has identified an underserved market: homeowners, small contractors, farmers, outdoor enthusiasts, and small businesses who need smaller quantities with faster delivery than traditional retail channels provide. The vision: **"Apex Direct"** - a D2C e-commerce platform offering direct sales, technical support, custom configuration tools, and educational content.

Target Launch: Q3 2026 | **Year 1 Revenue Target:** R60M | **Year 3 Target:** R175M (30% of total revenue)

DISCOVERY FINDINGS BY STAKEHOLDER

1. EXECUTIVE LEADERSHIP - CEO & CFO

Participants: Thabo Mokwena (CEO), Lindiwe Khumalo (CFO)

CEO's Strategic Vision: "Our retail partners mark up 50-70%, and we have zero relationship with end users. We're seeing competitors build online communities and capture market intelligence. This isn't just a new channel - it's about brand control, margin improvement, and direct customer feedback to drive innovation."

Critical Concerns:

- **Channel conflict:** "Our top 12 retailers represent 65% of revenue. If they think we're competing, we face serious backlash. D2C must target customers retailers don't serve - small orders, custom configurations, rush delivery."
- **Operational readiness:** "Our smallest B2B order is R15,000. Can we profitably fulfill a R350 order? What are the unit economics?"
- **Technology debt:** "Our ERP is 14 years old and can't handle high-volume, low-value transactions."

CFO's Financial Concerns:

- **Investment:** E-commerce platform R4M-R6M, warehouse automation R7.5M, marketing R3M (Year 1), systems integration R2M-R3.5M, personnel R4.2M annually
- **Working capital:** "D2C requires R11.5M additional inventory in consumer packaging. Current turns are 4.2x - will D2C improve or hurt that?"
- **Financial systems:** "We process 3,200 invoices monthly. D2C could add 75,000-125,000 orders monthly by Year 2. Our SAP R/3 system will collapse. We need to handle sales tax across South Africa plus SADC exports, automated revenue recognition, and real-time financial controls."

Success Metrics: Month 12 - R60M revenue, 180,000 customers, R333 AOV, CAC <R225, repeat rate >35%, gross margin >42%

2. SALES LEADERSHIP & TEAM

Participants: Sipho Ndlovu (VP Sales), Zanele Dlamini (Director, Retail Relations), regional sales team (10 people)

VP Sales Concerns: "My team earns commission on revenue. If D2C cannibalizes retail sales, their income drops. I need clarity on compensation before they start undermining this - intentionally or not."

Current Sales Structure:

- 10 regional managers (retail relationships), 4 national account managers (tenders/direct), Salesforce Professional Edition (60% adoption)
- Average sales cycle: 2-4 months new retail, 8-16 months government tenders

Key Issues Raised:

1. **Channel conflict:** Zanele: "I've spent 13 years building retail partnerships. Some buyers meet quarterly, we co-plan promotions, share forecasts. If D2C competes for the same customers, I'll spend next year doing damage control. We need clear rules: what customers are off-limits, how we handle conflicts, how we position this to retailers."
2. **Compensation:** "If a contractor currently buying through Builders switches to D2C, does my rep lose commission? That creates internal sabotage."
3. **Different sales motion:** "D2C is digital marketing-driven, transactional, high-volume/low-touch. My team are relationship sellers - they negotiate tenders, solve complex technical problems. Are we building a separate D2C team?"

Opportunities: D2C as lead generation engine. Small customer orders online, good experience, then escalate to retail partner for larger projects. Need data integration to spot opportunities.

Critical Requirements:

- Single customer view across all channels

- Automated lead routing when D2C customers hit thresholds (R25K in 6 months → route to sales)
- Retailer portal with real-time product availability
- CPQ for custom products coexisting with transactional D2C

Data Quality Issues: 15-20% duplicate accounts, outdated contacts, no ERP integration so sales can't see order history or payment status in Salesforce.

3. MARKETING LEADERSHIP

Participants: Ayanda Nkosi (Marketing Manager), Naledi Mokoena (Digital Marketing Lead)

Current State: Marketing is B2B-focused with minimal digital maturity. Budget R6M (1.4% revenue), team of 4, activities: trade shows, retail co-op advertising, product catalogs, basic website (45,000 visitors/month, 80% organic search), no e-commerce, no marketing automation.

Marketing Vision for D2C: "D2C requires us to become content-driven and community-oriented. Our customers are problem-solvers - farmers, builders, outdoor enthusiasts. We should be their technical resource: installation videos, product selection tools, project showcases, expert forums, monthly webinars on topics like 'Water Tank Sizing for Off-Grid Homes' or 'Choosing Food-Safe Containers.'"

Critical Gaps:

1. **Data infrastructure:** "We can't track customer journeys, attribution, or LTV by acquisition source. Need sophisticated analytics."
2. **Personalization:** "If someone researches water tanks, the site should highlight those products, show related content, offer recommendations. Need product recommendation engines and dynamic content."
3. **Marketing automation:** "We need triggered emails - abandoned cart, post-purchase, re-engagement, educational series. Manual email doesn't scale. Must integrate with e-commerce and CRM for behavioral segmentation."

4. **Product information management:** "8,500 SKUs need descriptions, specs, application notes, installation guides, compatibility info, imagery. Current product data in ERP is for internal use, not customer-facing."

Resource Constraints: "We're 4 people. We don't have SEO specialists, paid search experts, content creators, data analysts. Do we hire? Use agencies? And our budget is sized for B2B. D2C customer acquisition needs R3M Year 1 - that's half our current total budget."

Technology Needs: E-commerce platform, marketing automation (considering Salesforce Marketing Cloud), customer data platform, analytics, PIM, CMS, all integrated for triggered campaigns and closed-loop reporting.

4. PRODUCTION & OPERATIONS

Participants: Pieter van der Merwe (VP Manufacturing), Nomsa Buthelezi (Production Director - Gauteng), Johan Pretorius (Supply Chain Manager)

Current Production: Two facilities optimized for batch production, 1-3 week lead times for standard products, 4-10 weeks for custom, MOQ typically 200-500 units, bulk packaging for retail (boxes of 100, 500, 1000).

Critical D2C Challenges:

1. **Packaging transformation:** "Everything is bulk-packed for retail. D2C needs consumer-ready packaging - retail boxes, barcodes, product info, marketing copy for 8,500 SKUs. Do we pack in advance and carry inventory? Pack-to-order? Where - at plants or separate fulfillment center?" Estimated packaging cost increase R0.75-R2.25/unit, floor space 10,000-15,000 sqm, lead time 4-6 months.
2. **Inventory complexity:** "We stock 1,800 top SKUs in bulk, manufacture-to-order for rest. Same total inventory but 10-20x more line items in consumer packs. Our WMS isn't designed for that. Estimated inventory investment R11.5M, warehouse space 31,000 sqm."
3. **Fulfillment operations:** "We pick pallets, not individual items. A retail order takes 15 minutes - 40 SKUs, 25,000 pieces. D2C order: 3 SKUs, 38 pieces, same 10 minutes using current process = unprofitable. Need dedicated D2C fulfillment center with pick-to-light,

automated picking, integrated shipping." Requirements: Location for 2-day shipping to major metros, capacity 5,000 orders/day within 12 months, multi-carrier integration, 60-150 FTE.

4. **Manufacturing planning:** "Production runs on 4-week cycles from retail forecasts. D2C demand is volatile and unpredictable. How do we integrate D2C signals into planning? Poor forecasting means stockouts (killing satisfaction) or excess inventory (killing margins)."

Quality & Returns: B2B customers have technical expertise; D2C customers may not. Returns estimated 3-5% vs. <0.5% B2B. Need clearer descriptions, application guidance, compatibility warnings, pre-purchase support process.

5. FINANCE TEAM

Participants: Lindiwe Khumalo (CFO), Tshepo Molefe (Controller), Zinhle Ndaba (AR Manager)

Current Systems: SAP R/3 (implemented 2011, heavily customized, on-premise), 3,200 invoices/month, average R120,000, AR net 30 (90% established credit accounts), 8-day month-end close.

Critical Concerns:

1. **Transaction volume:** "We review every invoice, match to PO, validate pricing. D2C projects 75,000-125,000 orders monthly by end Year 1. Cannot scale manual processes. Every order must auto-create invoice, post revenue, adjust inventory, record COGS, handle VAT - zero finance intervention except exceptions."
2. **Payment processing:** "B2B is invoice-after-shipment, collect later. D2C is payment-before-shipment via cards. Need merchant services, payment gateway, fraud detection, PCI compliance, chargeback management. Zero internal expertise. Card fees 2.5-3% impact margins significantly."
3. **VAT complexity:** "We charge VAT in South Africa, handle exports to SADC. D2C adds cross-border complexity. Need real-time tax calculation, automated return filing, nexus monitoring."

4. **Reporting transformation:** "Board needs D2C P&L separate from B2B - revenue, margins, CAC, LTV, cohort analysis, channel attribution. Current reporting is B2B product-line focused. Need new dimensions, new KPIs, data integration from marketing (CAC, web analytics), operations (fulfillment costs), sales (customer data) rolling into complete unit economics."
5. **ERP limitations:** "SAP R/3 is 14 years old, customized, on-premise servers we're retiring. Cannot handle D2C transaction volumes without performance collapse. Options: (1) Upgrade to S/4HANA - R15M+, 18-24 months, (2) Keep SAP for B2B, separate system for D2C - reconciliation nightmare, or (3) Modern cloud ERP for both - also R12M-R18M, 18+ months. Timeline doesn't align with Q3 2026 launch. Interim: Launch D2C on e-commerce platform, nightly batch to SAP, accept manual reconciliation Year 1, full ERP replacement Year 2."

6. IT DEPARTMENT

Participants: Kabelo Radebe (IT Manager), Lerato Sithole (Infrastructure Lead), Mandla Zondi (Applications Lead)

Current IT Environment: "We run 14-year-old ERP on servers we're retiring, network is 10-year mix of vendors, no cloud strategy, team of 7 supporting 420 employees across two plants. We're in maintenance mode. D2C forces complete modernization."

Current Systems: SAP R/3 (on-premise, custom integrations to shop floor with minimal documentation, Oracle 11g out of support, no API layer), Salesforce Professional (2020 implementation, poor adoption, no ERP integration), MES at both plants (proprietary, vendor defunct), WMS (homegrown Access database), no cloud infrastructure.

Critical IT Challenges:

1. **E-commerce platform & integration:** Evaluating Salesforce Commerce Cloud (cleaner CRM integration, 6-9 months, expensive), Shopify Plus (fastest 3-4 months, SAP integration challenging), Adobe Commerce (robust, 8-12 months, complex). Need integration: E-commerce ↔ ERP (orders, inventory, products), E-commerce ↔ CRM (customers, history), E-commerce ↔ WMS (orders, shipments), E-commerce ↔ Marketing

Automation, Tax Engine, Payment Gateway, plus CRM ↔ ERP, Marketing ↔ CRM, all systems ↔ MDM.

2. **Integration architecture:** "Cannot continue point-to-point. We have 15 custom integrations, all built differently - database queries, file transfers, web services. Fragile, unmaintainable. D2C adds 8-10 more. Need iPaaS (MuleSoft/Boomi) to centralize."
3. **Master data management:** "No single source of truth for customer/product data. Customer names formatted differently SAP vs. Salesforce. Same customer potentially in three systems. How do we synchronize? How do we know it's the same customer? Need MDM with golden record, PIM for customer-facing product content, data quality rules, governance framework."
4. **Infrastructure & hosting:** "D2C site needs fast, secure, always-available. On-premise data center isn't designed for that - single internet connection, no load balancing, no CDN, no DDoS protection. Need cloud hosting (AWS/Azure), hybrid connectivity back to SAP, increased bandwidth, WAF, intrusion detection, 24/7 monitoring."
5. **Security & PCI compliance:** "Storing/processing cards means PCI DSS - network segmentation, encryption, access controls, vulnerability scanning, penetration testing, annual audits. Never dealt with this. Also bigger attack target - credential stuffing, bots, DDoS, fraud. Need WAF, bot detection, fraud tools, SIEM, incident response."
6. **Staffing gap:** "Team knows SAP, networking, infrastructure. Not e-commerce, integration, cloud, security. Can't build/run with 7 people. Options: Hire 4-6 specialized roles (challenging locally), use SIs/managed services (expensive), or hybrid - hire 2-3 key roles, augment with contractors." Proposed: Hire integration architect and DevOps engineer, contractors for e-commerce implementation, managed services for 24/7 monitoring.

Phased Approach:

- **Phase 1 (Q1-Q3 2026):** Shopify Plus for speed, basic SAP integration (nightly batch), Salesforce upgrade to Enterprise, payment/tax integration, basic marketing automation, cloud hosting, PCI program. Budget: R6M-R8M
- **Phase 2 (Q4 2026-Q2 2027):** iPaaS implementation, real-time inventory, MDM/PIM, advanced marketing automation, WMS at fulfillment center. Budget: R4M-R5.5M

- **Phase 3 (Q3 2027-Q1 2028):** Cloud ERP replacement (NetSuite, S/4HANA Cloud, or Dynamics 365), migrate integrations, retire legacy. Budget: R12.5M-R17.5M

Key Risks: Integration complexity, timeline pressure (Q3 2026 aggressive), technical debt (building on legacy foundation), vendor dependencies, change management across all business functions.

SCENARIO SUMMARY FOR CANDIDATE

You are the Salesforce Solution Architect helping Apex Plastics design their D2C technology solution while maintaining B2B operations.

Your Challenge:

1. **Assess current state** and identify critical gaps
2. **Design target architecture:** E-commerce platform strategy, Salesforce platform strategy (CRM, Commerce Cloud, Marketing Cloud), integration architecture, master data management, phased roadmap
3. **Present recommendations** to mixed audience: Executives (business value, risk, ROI), Business stakeholders (process impact, capabilities, change management), Technical stakeholders (architecture, integration, feasibility)

Evaluation Criteria: Business requirements understanding across stakeholders, translation of needs into architectural decisions, balance of short-term pragmatism vs. long-term vision, communication to both business and technical audiences, risk identification/mitigation, realistic roadmap.

Required Presentation/s: 10-15 minutes C-Level Overview (Max 5 slides), 25-30 Min technical deep dive, 10-15 minutes Q&A